advertising.

Suppose an advertisement costs $100 and causes fifty new customers to sign up for the service. This ad has a cost per acquisition (CPA) of $2.00. In this example, if the product has an LTV that is greater than $2, the product will grow. The margin between the LTV and the CPA determines how fast the paid engine of growth will turn (this is called the marginal profit). Conversely, if the CPA remains at $2.00 but the LTV falls below $2.00, the company's growth will slow. It may make up the difference with one-time tactics such as using invested capital or publicity stunts, but those tactics are not sustainable. This was the fate of many failed companies, including notable dot-com flameouts that erroneously believed that they could lose money on each customer but, as the old joke goes, make it up in volume.

Although I have explained the paid engine of growth in terms of advertising, it is far broader than that. Startups that employ an outbound sales force are also using this engine, as are retail companies that rely on foot traffic. All these costs should be factored into the cost per acquisition.

For example, one startup I worked with built collaboration tools for teams and groups. It went through a radical pivot, switching from a tool that was used primarily by hobbyists and small clubs to one that was sold primarily to enterprises, nongovernmental organizations (NGOs), and other extremely large organizations. However, they made that customer segment pivot without changing their engine of growth. Previously, they had done customer acquisition online, using web-based direct marketing techniques. I remember one early situation in which the company fielded a call from a major NGO that wanted to buy its product and roll it out across many divisions. The startup had an "unlimited" pricing plan, its most expensive, that cost only a few hundred dollars per month. The NGO literally could not make the purchase because it had no process in place for buying something so inexpensive. Additionally, the NGO needed substantial help in managing the rollout, educating its staff on the new tool, and tracking the impact of the change; those were all services the company was ill equipped to offer.